

Flossbach von Storch
RESEARCH INSTITUTE



Economic Report

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Macroeconomic Outlook in Brief

Global: Uncertainty Weighs on Growth

Uncertainty regarding the war in Iran is pushing energy prices further up and is likely to weigh on growth.

USA: Labor Market Remains Solid

Surprisingly strong employment figures and stable consumption support positive momentum.

Eurozone: Recovery Driven by Germany

Business conditions are recovering mainly thanks to Germany, while France remains weak.

China: Government Supports Weak Domestic Economy

Expansionary monetary and fiscal policies stabilize the economy, but weak domestic demand and geopolitical risks act as a brake.

Is the Eurozone Awakening?



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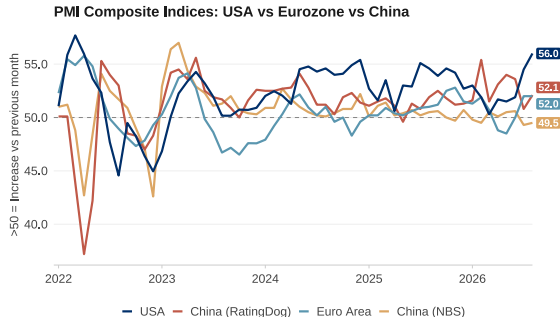
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Growth



USA and Eurozone: Recovery in Business Conditions



Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

In August, the **recovery in business conditions** continued in the US and the Eurozone. The Purchasing Managers' Index (PMI) remained expansionary in the Eurozone at 52.0 and surged once again in the US to 56.0. In China, the picture remained **split**: the official NBS PMI held slightly below the expansion threshold at 49.5, while the private export-focused RatingDog PMI rose to 52.1.

... Particularly in the Services Sector

USA: Sector PMIs

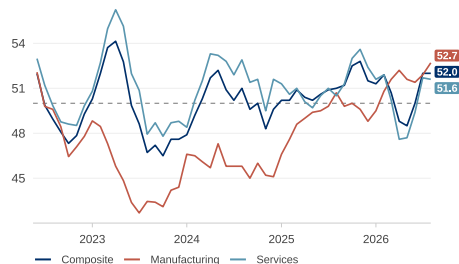
>50 = Expansion vs previous month



Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

Eurozone: Sector PMIs

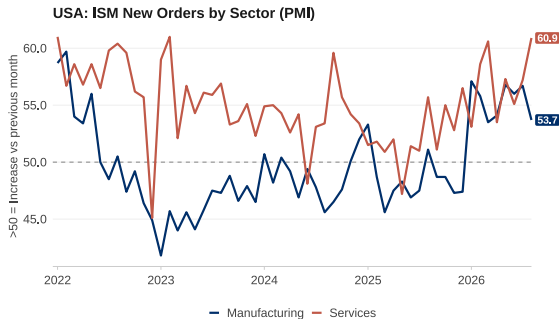
>50 = Expansion vs previous month



Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

In the US, the services sector gained **significant further momentum**, with the PMI rising to 56.5. In the Eurozone, business conditions in the services sector remained in **expansory territory** in August with a PMI of 51.6. Manufacturing gained even further ground, reaching 52.7.

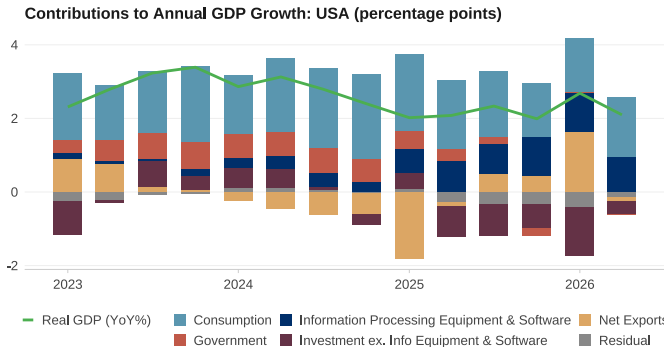
USA: Robust New Orders Support Growth Outlook



Source: Flossbach von Storch Research Institute, Macrobond, ISM. Data as of: 08.2026.

New orders continue to signal **positive momentum** for the US economy. In August, new orders in the services sector **surged once again**. In manufacturing as well, new orders remained **solidly in expansionary territory** at 53.7 points, comfortably above the 50-point threshold.

US Growth: Driven by AI Investments?



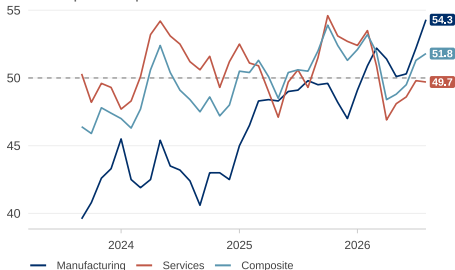
Source: Flossbach von Storch Research Institute, Macrobond. Data as of: Q2 2026.

In the second quarter of 2026, US GDP grew by 2.11% year-on-year. Private consumption was the **key growth driver**, contributing 1.53 percentage points. Investments in hardware and software, including a large share of AI infrastructure, contributed 0.7 percentage points. Because many hardware components are imported, their net growth contribution is likely significantly lower. Whether AI investments are truly driving growth **remains questionable**. Here is a detailed assessment.

Germany Recovers

Germany: Sector PMIs

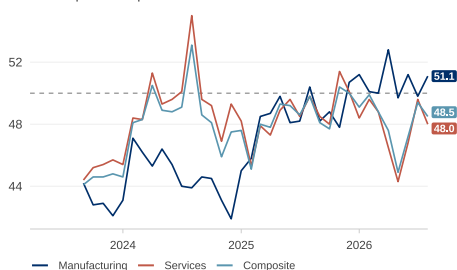
>50 = Expansion vs previous month



Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

France: Sector PMIs

>50 = Expansion vs previous month



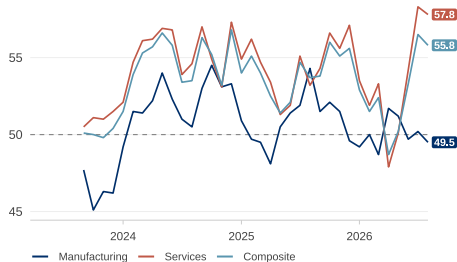
Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 08.2026.

In Germany and France, business conditions developed **divergently** in August. In Germany, the Composite PMI rose to 51.8. The main driver was manufacturing, where the PMI climbed to 54.3 **thanks to strong new orders**, while services remained just below the expansion threshold at 49.7. New orders are stemming from defense and the AI industry. In France, by contrast, the **situation deteriorated again**. The Composite PMI fell to 48.5, driven primarily by weaker business conditions in services (48.0).

Spain and Italy: Business Conditions Remain Expansionary

Spain: Sector PMIs

>50 = Expansion vs previous month



Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

Italy: Sector PMIs

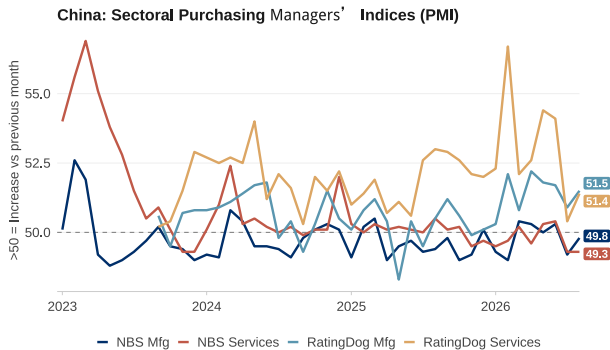
>50 = Expansion vs previous month



Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

Business conditions in Spain and Italy remained **expansionary** in August. In Spain, the composite PMI held at an elevated 55.8 points, supported by the **very solid business conditions in the services sector** (57.8), while conditions in manufacturing **clouded over slightly** at 49.5 points. In Italy, overall business conditions improved to 53.6 points. The main driver was likewise the robust services sector (55.2), whereas manufacturing sat just below the expansion threshold at 49.6 points.

China: Weak Domestic Economy

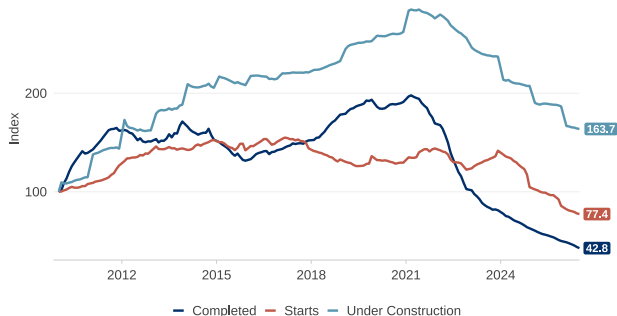


Source: Flossbach von Storch Research Institute, Macrobond, S&P Global. Data as of: 08.2026.

The Purchasing Managers' Indices for August 2026 underline the **persistent weakness in China's domestic economy**. The official NBS PMI remained in **contractionary territory** in both manufacturing (49.8) and services (49.3). By contrast, the private RatingDog PMI recovered slightly to 51.5 in manufacturing and 51.4 in services.

Construction Activity Fails to Recover

China: Real Estate by Construction Status Each Year (01.2010 = 100)



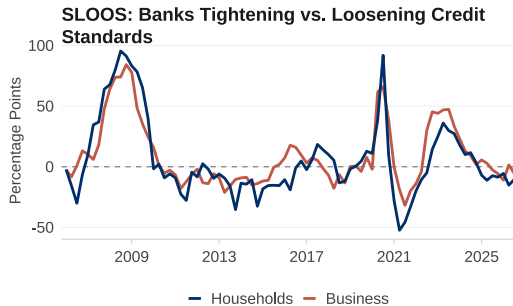
Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 07.2026.

Housing starts fell further in June and have remained below 2010 levels since 2022. This is also reflected in the numbers of unfinished and completed properties, which likewise dropped sharply.

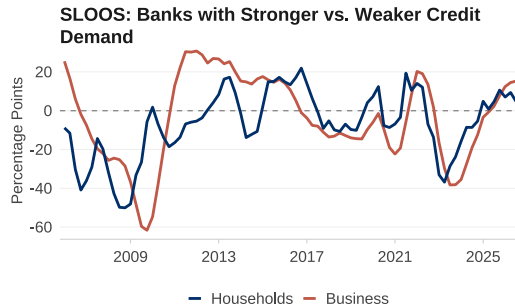
Financial Conditions



US Banks: Slight Easing of Lending Standards?



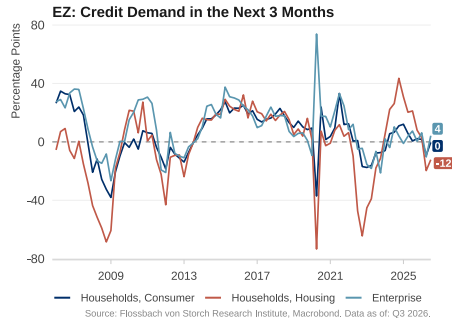
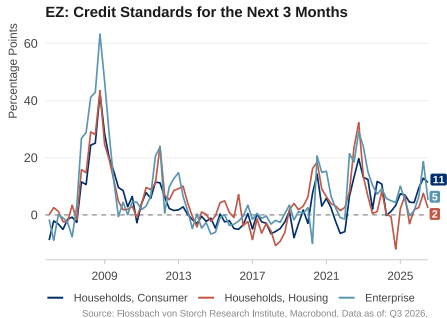
Source: Flossbach von Storch Research Institute, Macrobond. Data as of: Q3 2026.



Source: Flossbach von Storch Research Institute, Macrobond. Data as of: Q3 2026.

The July 2026 SLOOS survey shows that more banks eased rather than tightened lending standards for both firms and households (negative value). A majority of surveyed banks reported stronger credit demand over the past three months (positive value), although **household demand is slowing**.

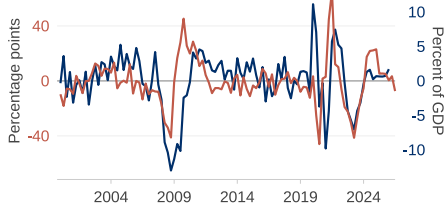
Restrictive Credit Conditions in the Eurozone



According to the ECB's Bank Lending Survey (BLS) for the second quarter of 2026, credit conditions are expected to become more restrictive over the next three months for both enterprises and households (positive value). Respondents expect net credit demand to **decline for residential real estate and consumer purchases**, but **rise slightly for corporate investment**.

Weak Credit Impulse

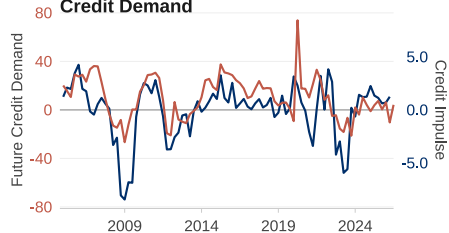
USA: Credit Impulse and Willingness to Lend



— Credit Impulse — Willingness to Lend

Source: Flossbach von Storch Research Institute, Macrobond, Dallas Fed, Fed, BEA, Data as of: 01.07.2026,

Eurozone: Credit Impulse and Future Credit Demand



— Credit Impulse — Future Credit Demand

Source: Flossbach von Storch Research Institute, Macrobond, ECB, Data as of: 01.07.2026,

The credit impulse (the change in credit growth to the private sector in percentage points of GDP) is a useful leading indicator for private demand. Recently, it was slightly positive in both the US and the Eurozone, but lost momentum. Because the number of banks reporting rising credit supply and demand is dropping sharply—especially in the Eurozone—this signals an impending negative credit impulse.

Private Consumption



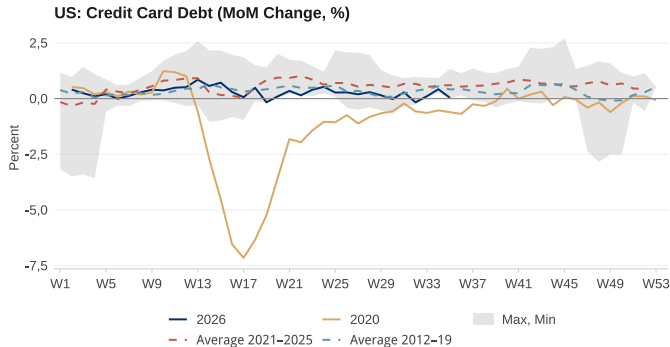
USA: Retail Sales Continue to Rise



Source: Flossbach von Storch Research Institute, Macrobond, Redbook Research Inc., USCB. Data as of: 31.08.2026.

Retail sales in the US **continue to grow solidly**. The weekly Johnson Redbook Index accelerated to 8.6% year-on-year by late August, pointing to **continued robust nominal consumption** among US households.

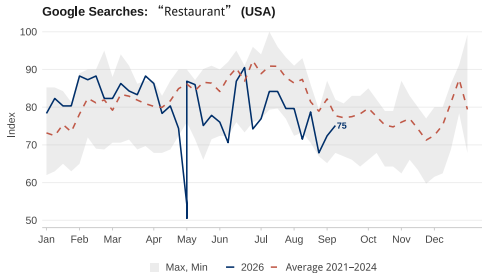
USA: Credit Card Debt Continues to Rise



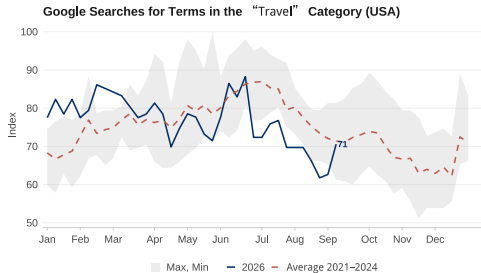
Source: Flossbach von Storch Research Institute, Macrobond, Fed. Data as of: 24.08.2026.

Credit card debt grew in recent weeks **similarly** to the average since 2012. The monthly change recently aligned with typical seasonal patterns for the same calendar weeks of prior years.

USA: Google Searches Point to More Cautious Consumption



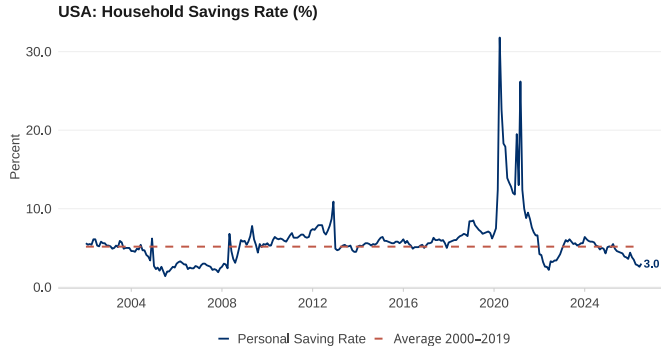
Source: Flossbach von Storch Research Institute, Macrobond, Google. Note: Max = 100. Data as of: 06.09.2026.



Source: Flossbach von Storch Research Institute, Macrobond, Google. Note: Max = 100. Data as of: 06.09.2026.

Consumption often starts with an internet search. Online search data therefore serves as a good leading indicator for private consumption. Search intensity for the term "restaurant" in recent weeks was slightly below the five-year average, having previously been higher. Terms in the "travel" category have been searched less than the five-year average over the past two weeks.

USA: The US Savings Rate Remains Low

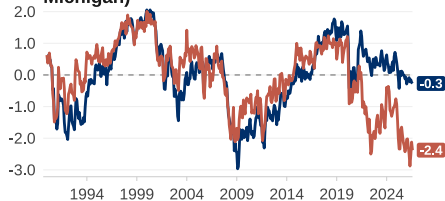


Source: Flossbach von Storch Research Institute, Macrobond, BEA, U.S. Treasury. Data as of: 07.2026.

Between 2000 and 2019, the US household savings rate averaged 5.2%. In July 2026, the **savings rate recovered slightly** to 3.0% (after 2.6% in June), but remains **well below its historical average**.

Only Republican Sentiment Remains Optimistic

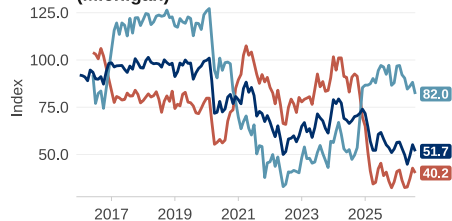
USA: Consumer Confidence, standardised (Conference Board vs. Michigan)



— Conference Board — University of Michigan

Source: Flossbach von Storch Research Institute, Macrobond, Data as of: 08.2026.

USA: Consumer Sentiment by Party (Michigan)

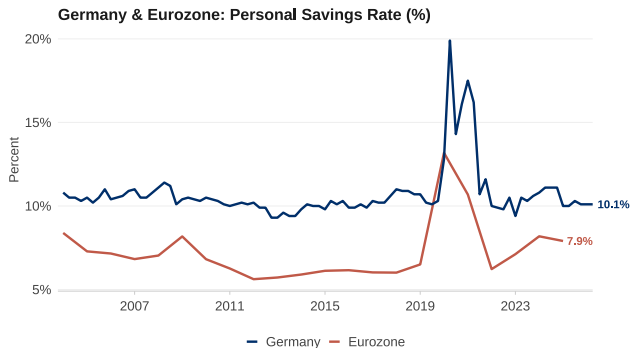


— Total — Democrats — Republicans

Source: Flossbach von Storch Research Institute, Macrobond, Data as of: 08.2026.

American consumer sentiment **remains on average pessimistic**. The Conference Board Consumer Confidence Index is at levels seen during the COVID crisis. The University of Michigan Consumer Sentiment Index **reached levels typical of recessions**. As usual, supporters of the opposition party are significantly more pessimistic, whereas Republicans remain optimistic.

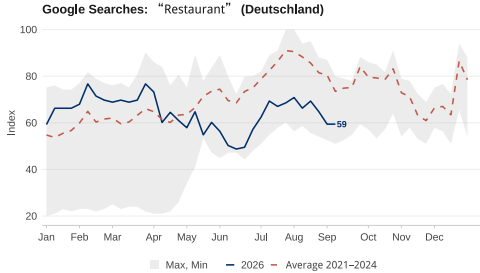
Eurozone & Germany: Household Savings Rate Remains Stable



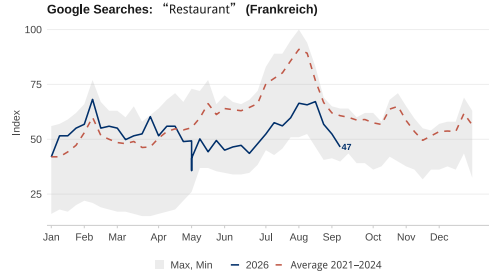
Source: Flossbach von Storch Research Institute, Macrobond, DESTATIS, OECD. Data as of: Q2 2026.

The household savings rate in Germany remains stable at 10.1%, **significantly higher than in the US** (3%). Historically, the German savings rate is also **higher than in the Eurozone**. During the COVID crisis, it surged to almost 20%.

Consumer Restraint in France and Germany



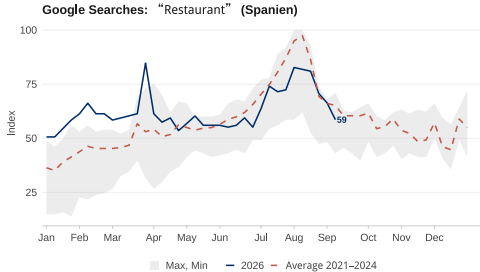
Source: Flossbach von Storch Research Institute, Macrobond, Google. Note: Max = 100. Data as of: 06.09.2026.



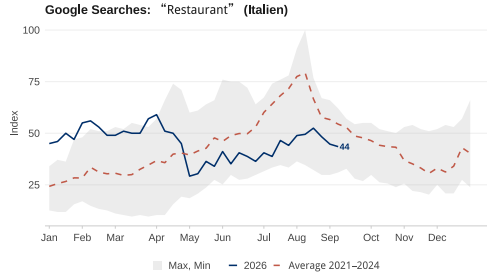
Source: Flossbach von Storch Research Institute, Macrobond, Google. Note: Max = 100. Data as of: 06.09.2026.

Google search queries for "restaurant" in Germany and France point to weak and declining private demand. In both countries, search intensity in recent weeks was lower than the five-year average for the same time of year.

Less Cautiousness in Spain Than in Italy



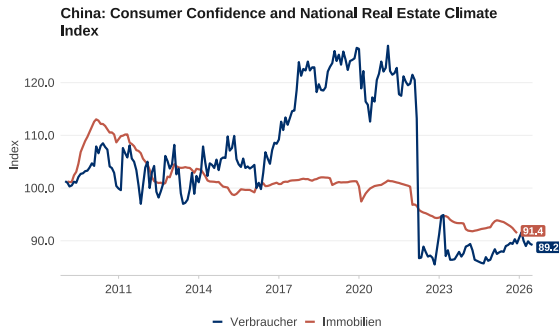
Source: Flossbach von Storch Research Institute, Macrobond, Google. Note: Max = 100. Data as of: 06.09.2026.



Source: Flossbach von Storch Research Institute, Macrobond, Google. Note: Max = 100. Data as of: 06.09.2026.

While search intensity for "restaurant" in Spain remained as high as the multi-year average, it was somewhat lower in Italy.

China: Sentiment Remains Pessimistic



Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 07.2026.

In China, consumer sentiment has improved slightly since early 2025 but remains **historically low**. Sentiment in the real estate sector is likewise depressed. The “National Real Estate Climate Index” has been trending downwards for three years.

Labor Market



Slower Rise in Nominal Wages



Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 08.2026.

In August, average hourly earnings in the US rose by 3.1% year-on-year, **at roughly the same pace as in the previous month**. In the first quarter of 2026, wage growth was 4% in Germany and 1.6% in France.

USA: Normalization of Wage Growth?

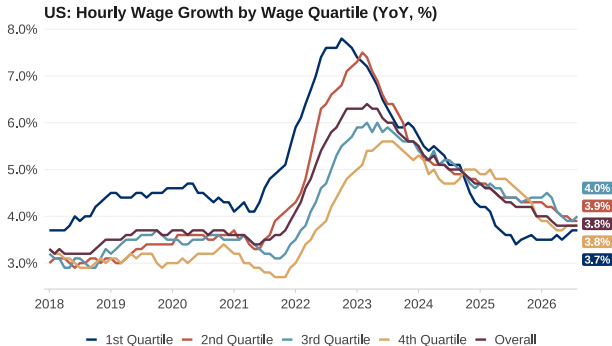
US: Wage Growth according to the Indeed Wage Tracker (YoY, %)



Source: Flossbach von Storch Research Institute, Macrobond, Indeed Hiring Lab. Data as of: 08.2026.

Wage growth according to the Indeed Hiring Lab Wage Tracker leads median US wage growth by **about eight months**. In July, advertised wage growth remained stable at 2.5%, while actual wage growth stood at 4.1% in August, pointing to an **ongoing normalization**.

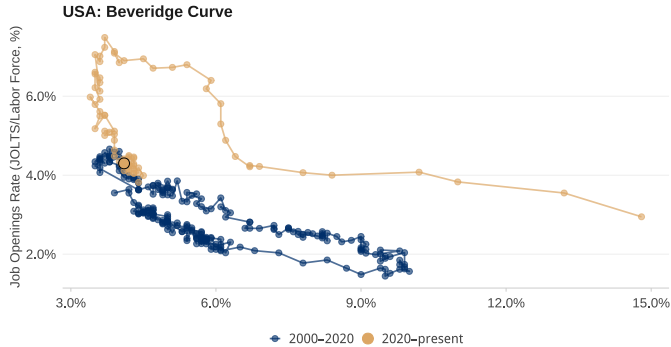
USA: Convergence of Wage Growth Across All Income Groups



Source: Flossbach von Storch Research Institute, Macrobond, Atlanta Fed. Data as of: 08.2026.

In July, US hourly earnings rose by an unchanged average of 3.8%. Wage gains across all four wage quartiles have **converged further**: wages in the lowest quartile increased by 3.7%, and by 3.8% in the highest quartile.

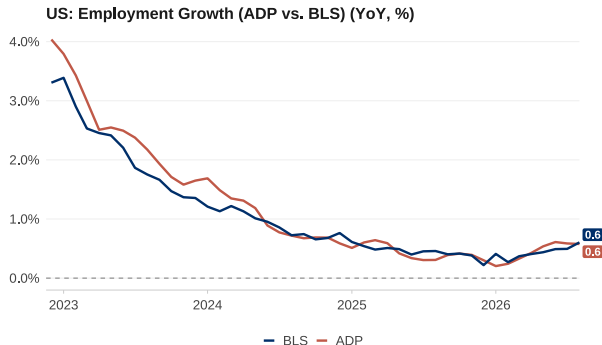
The US Labor Market is Less Tight



Quelle: Macrobond, BLS/JOLTS. Daten vom: 07.2026

The Beveridge curve shows the relationship between the job vacancy rate—vacancies as a percentage of total employment plus vacancies—and the unemployment rate. During the COVID crisis, the curve shifted outward because policy measures kept unemployment high despite abundant job openings. These rigidities have dissipated, and the Beveridge curve has returned to pre-COVID levels. The US labor market environment has thus normalized.

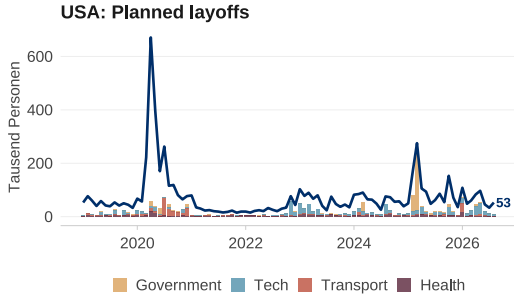
US Job Growth Remains Stable



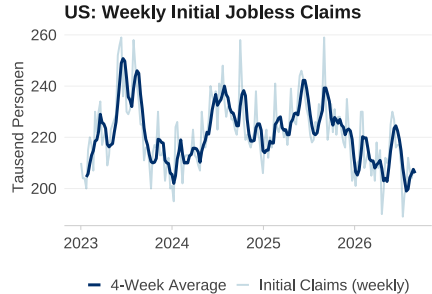
Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 08.2026.

In August, non-farm private sector employment rose by 0.6% year-on-year according to the ADP report. Official figures showed annual growth of 0.6% (up from 0.5% in the previous month), **significantly higher than expected**. The US **labor market remains stable**, but job creation is now proceeding **more slowly** than in the years between the Great Financial Crisis and the pandemic.

USA: Layoffs and Initial Claims Low



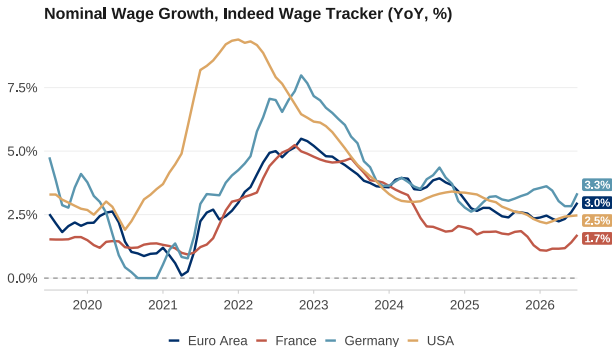
Source: Macrobond, BLS/JOLTS. Data as of: 08.2026



Quelle: Macrobond, BLS/JOLTS. Daten vom: 31.08.2026

In August, announced **job cuts** according to Challenger picked up again to around 52,900 (up from 33,400 in July). At the same time, weekly initial jobless claims remained at a **low level** of around 206,000 at the end of August.

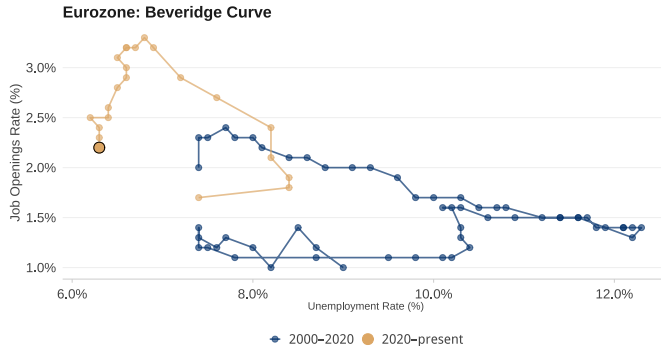
Nominal Wages Rising Faster in Germany



Source: Flossbach von Storch Research Institute, Macrobond, Indeed Hiring Lab. Data as of: 07.2026.

The Indeed Hiring Lab Wage Tracker shows a **noticeable acceleration in nominal wage growth** in July. In the Eurozone, the growth rate rose to 3.0%, and in Germany even to 3.3%. In France, wage growth picked up to 1.7%, while it remained stable at 2.5% in the US.

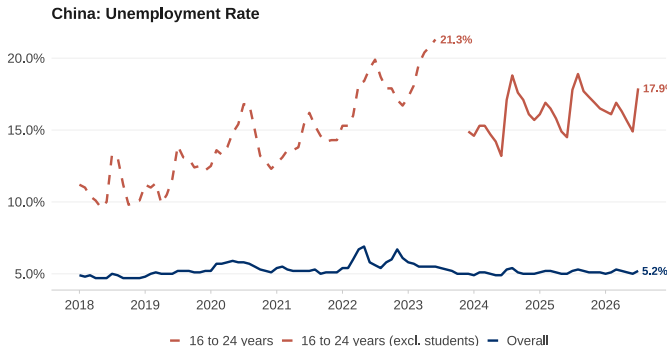
Eurozone: Tight Labor Market



Quelle: Macrobond, Eurostat. Daten vom: Q4 2025

The Beveridge curve, illustrating the relationship between vacancy rate and unemployment rate, points to a tight labor market in the Eurozone. During the COVID crisis, the curve shifted outward as policy measures caused unemployment to remain elevated despite high job vacancies. In the meantime, these rigidities have largely dissipated and unemployment stands at historically low levels. Although the vacancy rate has declined, it once again aligns with the historical relationship between the two variables.

China: Very High Youth Unemployment



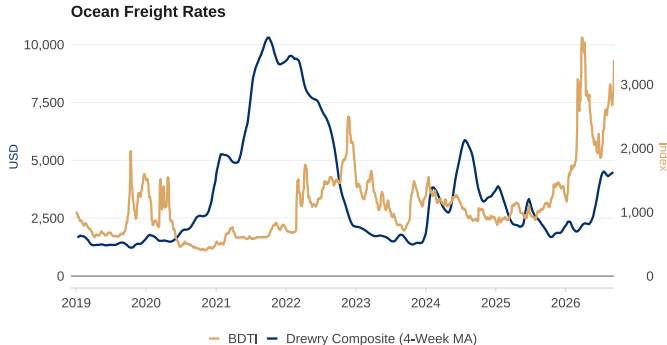
Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 07.2026.

China's **unemployment rate** has moved sideways at around 5% in recent years and rose slightly to 5.2% in July. **Youth unemployment**, defined as the jobless rate among 16- to 24-year-olds, reached 21.3% in mid-2023. Following a six-month publication suspension, a revised statistic “excluding students” was introduced. After a previous decline, this rate rose again to 17.9% in July.

Commodities



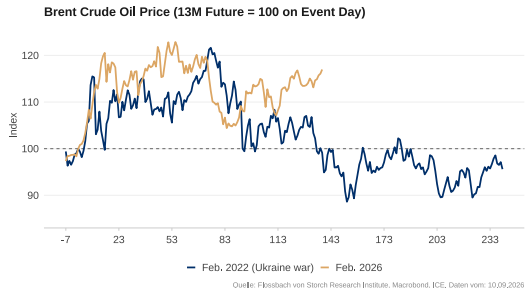
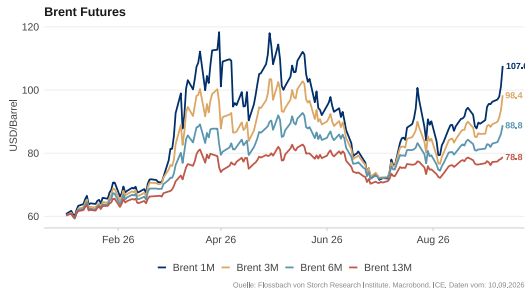
Ocean Freight Costs Continue to Rise



Source: Flossbach von Storch Research Institute, Macrobond, Drewry, Baltic Exchange. Data as of: 10.09.2026.

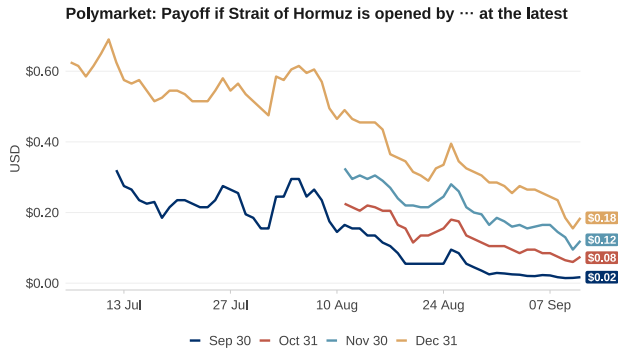
Crude tanker **freight rates** surged to new record highs following the blockade of the Strait of Hormuz. After a **brief decline**, rates surged again, surpassing 2022 peak levels following the start of the war in Ukraine. The World Container Index (WCI), tracking container freight rates in **goods trade**, initially remained low due to persistent shipbuilding overcapacity, but has surged in recent weeks owing to high fuel costs and maritime geopolitical uncertainties.

Backwardation: Lower Oil Prices Expected Again



Following a brief **stabilization of oil prices**, the spread between 3-month and 1-year oil delivery futures widened again due to ongoing uncertainty regarding the Strait of Hormuz blockade. Nevertheless, this “backwardation” signals that the **current tightness** is viewed as **temporary**. Futures prices for 1-year delivery have risen again over recent days.

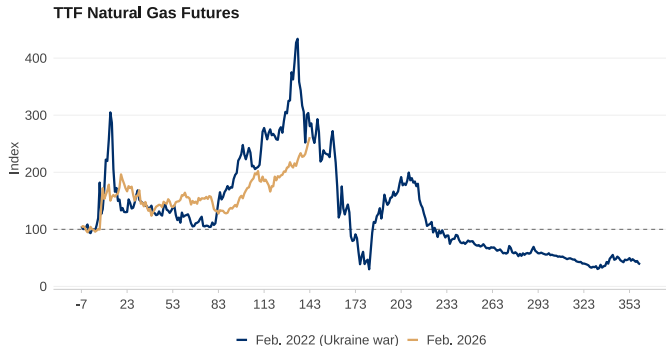
When Will Shipping Through the Strait of Hormuz Normalize?



Source: Flossbach von Storch Research Institute, Polymarket. Data as of: 11.09.2026.

A reopening of the Strait of Hormuz is **critical for global oil supply**. Following renewed attacks, **prediction markets** price in a reopening by the end of September with only around a 2% probability. The probability stands at 8% for the end of October, 12% for the end of November, and 20% for the end of December.

Volatile European Gas Prices



Quelle: Flossbach von Storch Research Institute, Macrobond, ICE. Daten vom: 10.09.2026

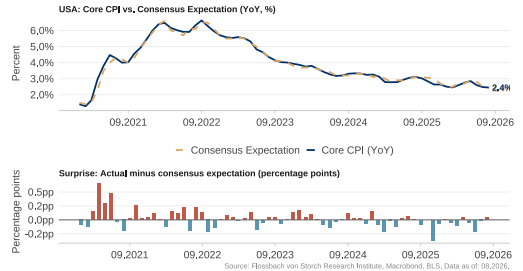
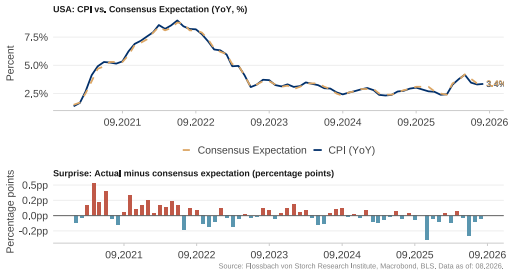
Europe remains **heavily dependent on oil and gas imports**. Following an interim sideways phase, Dutch TTF front-month natural gas futures have **picked up again recently** and stand nearly 150% above pre-Iran war levels. During the 2022 energy crisis, European gas prices temporarily tripled.

USA



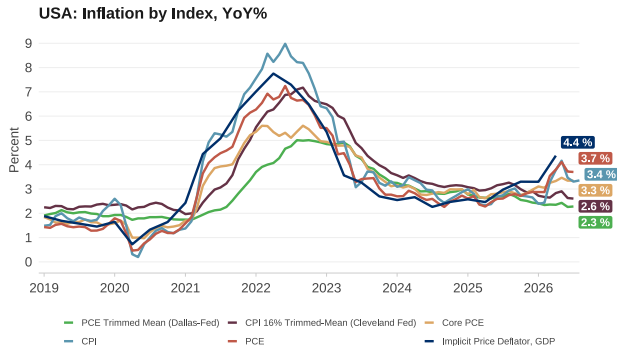
AI-Act

USA: Inflation Rate Remains High



In August, consumer prices in the US **continued to rise noticeably**. The Consumer Price Index (CPI) increased by 3.4% year-on-year as expected. Core inflation stood at 2.4%, matching the median expectations of participants in a monthly Bloomberg survey.

Indices Point to Elevated Inflation

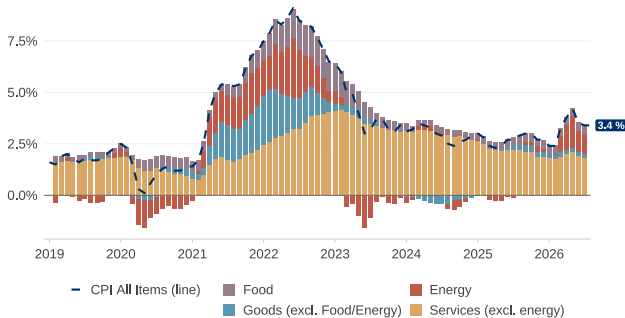


Source: Flossbach von Storch Research Institute, Macrobond, BEA, BLS, Cleveland Fed, Dallas Fed. Data as of: 08.2026.

Inflation is measured using various indices: the CPI captures consumer prices, the PCE index tracks household consumption expenditures, and the GDP deflator reflects prices of all domestically produced goods and services. Inflation rates for all three indicators peaked in mid-2022. In July 2026, the annual rate of the Fed's preferred **Core PCE Index** (excluding food and energy) was 3.3%. By contrast, new Fed Chair Kevin Warsh favors **trimmed-mean inflation**, which excludes the largest price increases and decreases. Under this measure, inflation ranged between 2.3% and 2.6% in July.

Inflation Drivers: Services and Energy

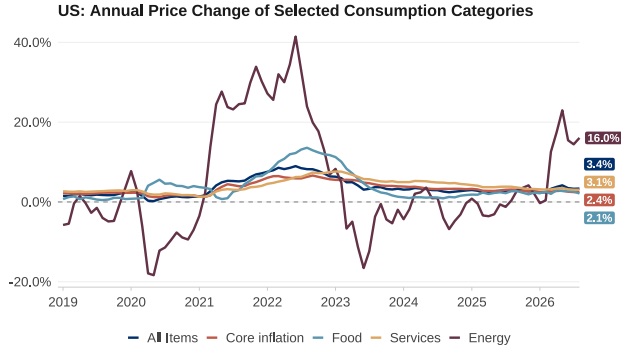
US: Contributions to CPI Inflation by Component (YoY, %)



Quelle: Flossbach von Storch Research Institute, Macrobond, BLS. Daten vom: 08.2026

Services inflation remains the dominant driver of US inflation. While the food price contribution remains moderately positive, the recent oil price shock is now feeding through in full force: energy's contribution to inflation is at its highest level since 2022, pushing headline inflation noticeably higher once again.

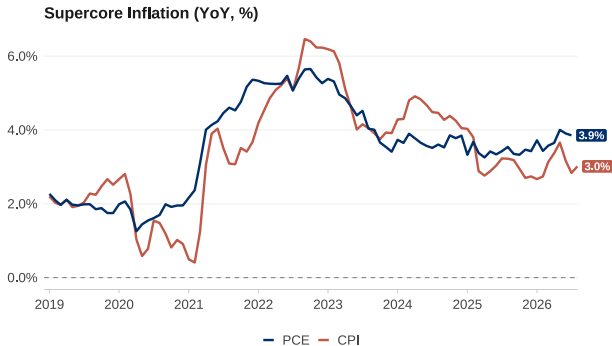
USA: Rising Inflationary Pressure



Source: Flossbach von Storch Research Institute, Macrobond. Data as of: 08.2026.

In August, services prices increased by 3.1% year-on-year. Food prices picked up at an annual rate of 2.1%. **Energy prices rose particularly sharply**, surging by 16.0% compared to the previous year.

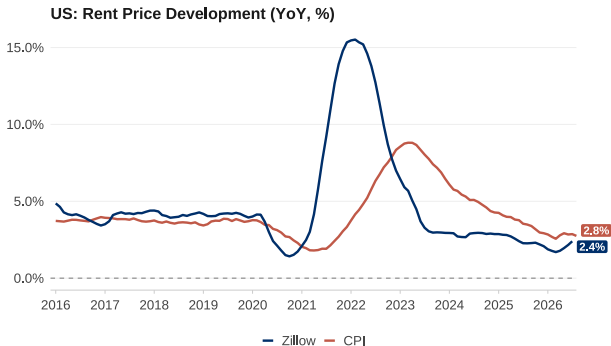
USA: Supercore Inflation Rises Less Strongly



Source: Flossbach von Storch Research Institute, Macrobond, Bloomberg. Data as of: 08.2026.

Supercore is defined as the services price index **excluding energy and housing costs**. Based on the CPI index, the annual supercore inflation rate was around 3.0% in August. Measured by the PCE index, supercore inflation rose to almost 3.9% in July. This shows that inflationary pressure in services **remains high** even excluding housing costs.

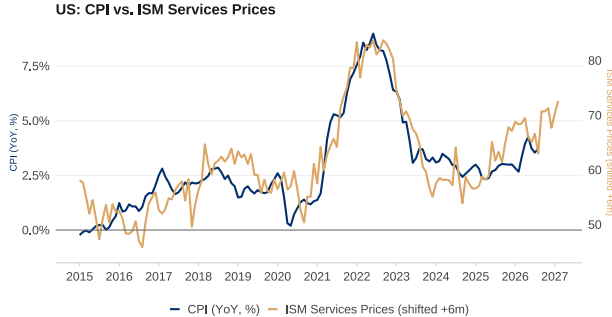
Rent Growth Has Stopped Falling



Source: Flossbach von Storch Research Institute, Macrobond, Zillow. Data as of: 08.2026.

Rental costs make up a large share of services prices in the CPI and are also strongly correlated with owners' equivalent rent. During the pandemic, the Zillow rent index for new leases was a reliable **leading indicator for rent trends**, as existing leases adjust with a lag. Currently, the Zillow rent index indicates **slower rent growth** at around 2.4% compared to the CPI rent index at approximately 2.8%.

USA: Inflation Could Rise Further



Quelle: Flossbach von Storch Research Institute, Macrobond, BLS, ISM. Daten vom: 08.2026

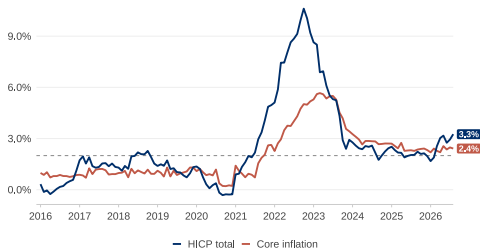
The Prices Paid index in the ISM Services PMI leads consumer price inflation by **approximately six months**. In August, this sub-index ticked up slightly to 57.3 points. This suggests that services inflation in the US could experience **further upward pressure** in the coming months.

Eurozone



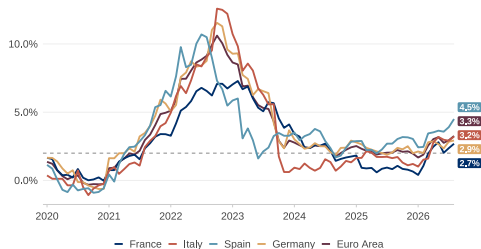
Rising Inflation in the Eurozone

Eurozone: HICP Headline and Core Inflation (YoY, %)



Quelle: Flossbach von Storch Research Institute, Macrobond, Eurostat. Daten vom: 08.2026

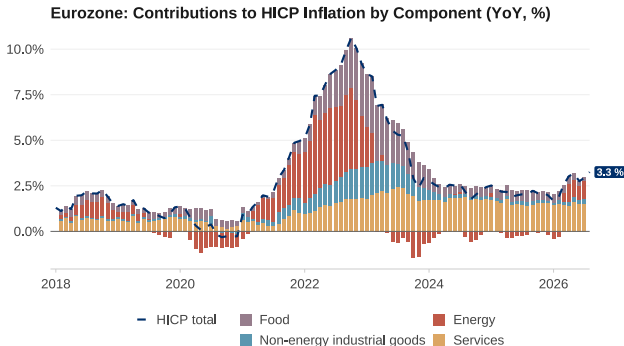
Eurozone: HICP by Country (YoY, %)



Quelle: Flossbach von Storch Research Institute, Macrobond, Eurostat. Daten vom: 08.2026

In August, Eurozone HICP remained above the 2% target. Year-on-year, HICP rose by 3.3%, while core inflation stood at 2.4%. In Germany (2.9%), France (2.7%), Italy (3.2%), and Spain (4.5%), **prices picked up pace again.**

Inflationary Pressure Persists



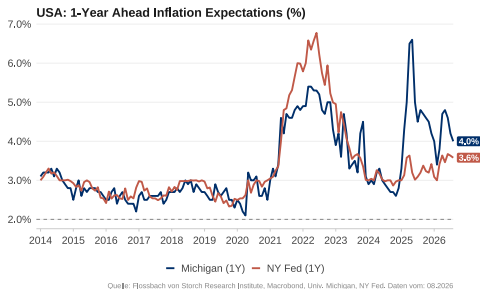
Source: Flossbach von Storch Research Institute, Macrobond, Eurostat. Data as of: 08.2026. August 2026: Total rate (Flash estimate), components through July.

Until late 2022, inflation was primarily driven by energy and food prices. Currently, price increases are predominantly driven by rising services prices, to a lesser extent by food, and once again by energy. In the interim, however, energy prices exerted a dampening effect on inflation for several months.

Inflation Expectations

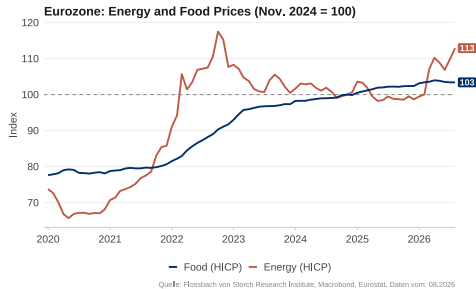
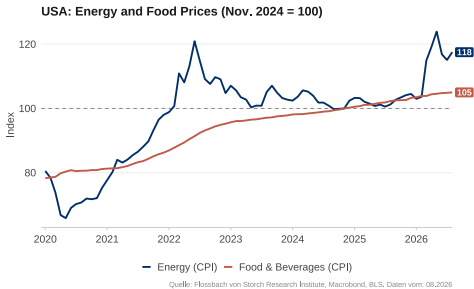


Volatile Consumer Inflation Expectations



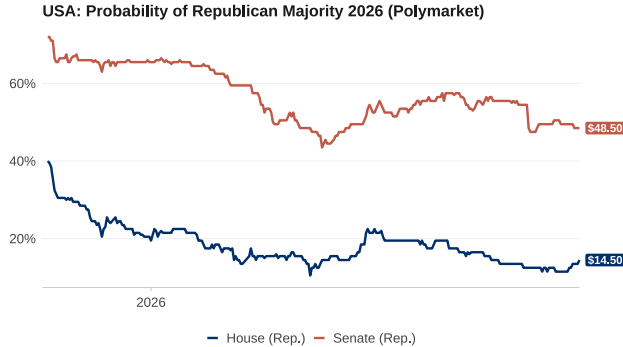
In August 2026, **US consumer inflation expectations** for the next twelve months stood at 4.0% (University of Michigan) and 3.6% (New York Fed). In the Eurozone, households expected a median rate of 2.9% for the coming year and 2.7% for the next three years according to the ECB in July.

Energy Becomes More Expensive Again ...



Food and energy prices are often excluded to analyze underlying inflation trends. For the perception of purchasing power and voting behavior, however, these prices are crucial. Following the sharp surge in 2021, energy prices had stabilized, but **food prices continue to rise**. The war in Iran has now **driven energy costs higher once again**: in the US, they stand 18% above levels prior to Trump's election (Nov 2024), and 13% in the Eurozone.

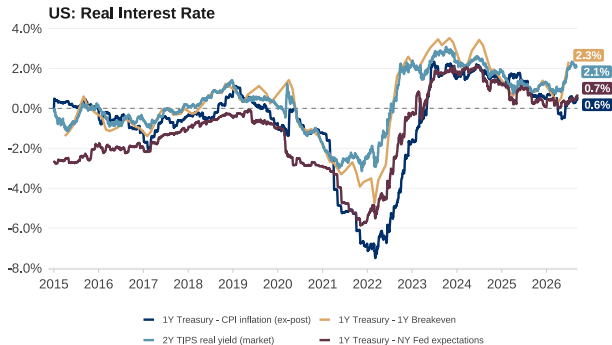
... Which is Likely to Hurt US Republicans



Quelle: Flossbach von Storch Research Institute, Macrobond, Polymarket. Daten vom: 11.09.2026

In November 2026, the entire House of Representatives and 35 of the 100 Senate seats are up for election. In prediction markets, a **Republican majority** in the House is currently priced in with only around 15% probability. For the Senate, the **probability has recently risen again** and currently stands at nearly 49%.

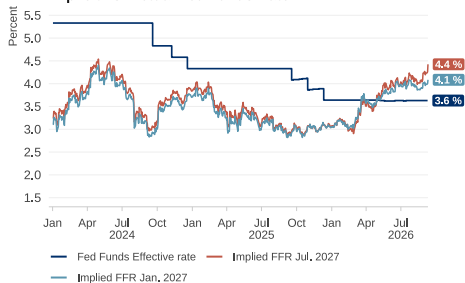
USA: Rising Real Interest Rates



The **real interest rate** is the difference between the nominal interest rate and (expected) inflation. While the nominal rate can be observed in the market, expected inflation requires an estimate. Depending on the approach chosen, the (expected) real interest rate for the US economy currently lies in **positive territory** between 0.7% and 2.3%. Alternatively, one can observe the yield on inflation-indexed government bonds (**TIPS in the US**). For a two-year maturity, the real rate has been positive since April 2022 and recently rose to around 2.1%.

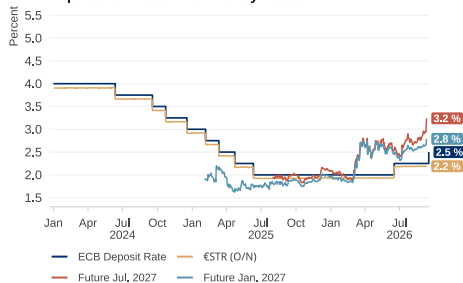
Volatile Interest Rate Expectations

Implicit vs. Actual Fed Funds Rate



Source: Flossbach von Storch Research Institute, CME Group, New York Fed, Fed, CBOT.
Data as of: 10.09.2026.

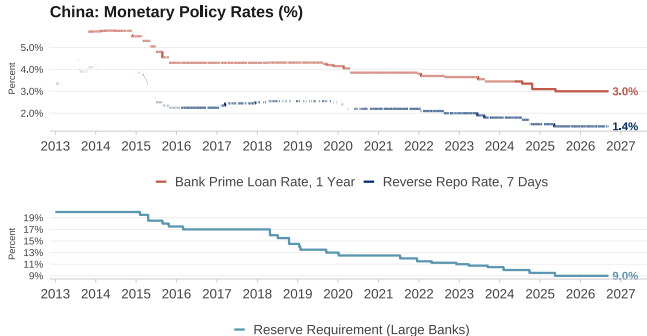
Implicit vs. Actual ECB Policy Rates



Source: Flossbach von Storch Research Institute, EZB, ICE. Data as of: 16.09.2026.

Futures markets are pricing in **rate hikes of 25 to 50 basis points** for the US Federal Reserve through January 2027. Through July 2027, an **additional approximately 25 basis points** are priced in. This would bring the policy rate back close to levels prior to last year's rate cuts. Following the recent rate hike, futures markets are pricing in **further rate hikes totaling around 75 basis points** for the Eurozone through July 2027, of which roughly 25 basis points are expected by January 2027. Nevertheless, expected interest rates in Europe remain **significantly below those in the US**.

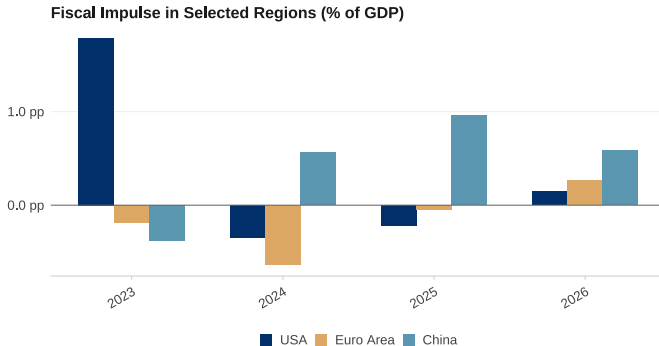
China: Expansionary Monetary Policy



Quelle: Flossbach von Storch Research Institute, Macrobond, PBoC. Daten vom: 11.09.2026

The People's Bank of China manages monetary policy primarily through three tools: the 7-day reverse repo rate, the 1-year Loan Prime Rate (LPR), and the reserve requirement ratio (RRR). In recent years, it cut all three rates repeatedly to inject liquidity and support economic growth via credit expansion. For 2026, it signals a continuing moderately accommodative policy stance.

Moderate Fiscal Impulse for 2026



Quelle: Flossbach von Storch Research Institute, Macrobond, IWF Fiscal Monitor. Daten vom: 11.09.2026

Recent IMF estimates have shifted the fiscal picture for 2026, particularly regarding China. Rather than a previously expected neutral fiscal impulse, a strong positive impulse is now projected, driven by extensive state measures to support domestic demand. In the US, the fiscal impulse was negative in 2024 and 2025, but a slightly positive impulse is expected for 2026. In the Eurozone, the fiscal impulse shifts from 2025 to 2026, as German defense and infrastructure programs take effect with a lag.

Economic Forecast 2026 & 2027

	Qualitative Factors			GDP Forecast 2026		GDP Forecast 2027	
	Momentum	Fiscal Policy	Financing	FvS-RI	Consensus	FvS-RI	Consensus
USA	+	+	0	2.0%	2.1%	1.9%	2.1%
China	0	+	0	4.6%	4.6%	4.4%	4.4%
Eurozone	+	+	—	0.6%	0.8%	1.0%	1.0%
Germany	+	+	—	0.6%	0.7%	0.8%	1.1%

*Our growth forecasts are based on a qualitative assessment of economic momentum, fiscal policy impact, and financing conditions. Directional guidance rather than point forecasts.
Consensus: Bloomberg.*

USA: Stable consumption, a solid labor market, and moderating wage growth support unchanged positive momentum. On the fiscal side, no budget consolidation is planned; the stance remains expansionary. Monetarily, rate hikes of at least 25 basis points are expected by year-end. The war in Iran increases uncertainty and recession risk.

China: The persistent weakness in the real estate sector weighs on domestic demand. Manufacturing stabilizes the economy via exports, albeit heavily aided by subsidies, pointing to overcapacity and exerting deflationary pressure. Mild positive impulses are expected from fiscal and monetary policy.

Eurozone / Germany: A recovery in Germany supports Eurozone momentum, while France remains weak. Spain and Italy contribute to growth, though manufacturing in both countries remains soft. Debt-financed economic stimulus programs, particularly in Germany, should provide an impulse through late 2026. Without deregulation, German infrastructure and defense investments may have only a muted effect. Rising oil and gas prices, a weak euro, and tighter financing conditions add further headwinds. We have slightly raised our forecast for Germany to 0.6%, while for the Eurozone it remains at 0.6%.

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